Dividend Regressions: January 2025

Variables used in the regression

1. Dividend Yield = Dividends per share in most recent year/ Current Stock Price
2. Dividend Payout Ratio = Dividends / Net Income
3. Beta: Regression or Bottom up beta
4. Expected Growth in EPS over next 5 years = Consensus analyst estimate (or your own) of expected growth in EPS . If you don't have an analyst estimate, use your own estimate of expected growth.

US Regression: Dividend Yield

Model Summary[a]

Model	R	R Square	Adjusted R Square	Std. Error of the Estimate
1	.590[b]	.348	.346	233.01742

a. Broad Group = United States

b. Predictors: (Constant), Beta, EffTaxRateCorrect, Expected growth rate in EPS- Next 5 years, Company Age

ANOVA[a,b,c]

Model		Sum of Squares	df	Mean Square	F	Sig.
1	Regression	35744035.7	4	8936008.927	164.576	<.001[d]
	Residual	66894049.4	1232	54297.118		
	Total	102638085	1236			

a. Broad Group = United States

b. Dependent Variable: DivYldCorrect

c. Weighted Least Squares Regression - Weighted by Market Cap (in US $)

d. Predictors: (Constant), Beta, EffTaxRateCorrect, Expected growth rate in EPS- Next 5 years, Company Age

Regression Output

Coefficients[a,b,c]

Model		Unstandardized Coefficients B	Unstandardized Coefficients Std. Error	Standardized Coefficients Beta	t	Sig.
1	(Constant)	2.396	.145		16.523	<.001
	EffTaxRateCorrect	-.017	.004	-.101	-4.239	<.001
	Expected growth rate in EPS- Next 5 years	-1.838	.295	-.157	-6.228	<.001
	Company Age	.008	.001	.250	9.564	<.001
	Beta	-1.124	.087	-.363	-12.851	<.001

a. Broad Group = United States

b. Dependent Variable: DivYldCorrect

c. Weighted Least Squares Regression - Weighted by Market Cap (in US $)

US Regression: Dividend Payout

Model Summary[a]

Model	R	R Square	Adjusted R Square	Std. Error of the Estimate
1	.162[b]	.026	.025	279.6200258

a. Broad Group = United States

b. Predictors: (Constant), Return on Equity, Beta

ANOVA[a,b,c]

Model		Sum of Squares	df	Mean Square	F	Sig.
1	Regression	3217724.672	2	1608862.336	20.577	<.001[d]
	Residual	119548472	1529	78187.359		
	Total	122766196	1531			

a. Broad Group = United States

b. Dependent Variable: Payout ratio

c. Weighted Least Squares Regression - Weighted by Market Cap (in US $)

d. Predictors: (Constant), Return on Equity, Beta

Regression Output

Coefficients[a,b,c]

Model		Unstandardized Coefficients		Standardized Coefficients		
		B	Std. Error	Beta	t	Sig.
1	(Constant)	.990	.097		10.186	<.001
	Beta	-.478	.089	-.139	-5.356	<.001
	Return on Equity	-.115	.054	-.055	-2.118	.034

a. Broad Group = United States

b. Dependent Variable: Payout ratio

c. Weighted Least Squares Regression - Weighted by Market Cap (in US $)

Global Regression: Dividend Yield

Model Summary

Model	R	R Square	Adjusted R Square	Std. Error of the Estimate
1	.383[a]	.147	.146	274.66438

a. Predictors: (Constant), Beta, Company Age, EffTaxRateCorrect, Expected growth rate in EPS- Next 5 years

ANOVA[a,b]

Model		Sum of Squares	df	Mean Square	F	Sig.
1	Regression	61890772.0	4	15472693.0	205.098	<.001[c]
	Residual	359624958	4767	75440.520		
	Total	421515730	4771			

a. Dependent Variable: DivYldCorrect

b. Weighted Least Squares Regression - Weighted by Market Cap (in US $)

c. Predictors: (Constant), Beta, Company Age, EffTaxRateCorrect, Expected growth rate in EPS- Next 5 years

Regression Output

Coefficients[a,b]

Model		Unstandardized Coefficients		Standardized Coefficients		
		B	Std. Error	Beta	t	Sig.
1	(Constant)	1.835	.100		18.302	<.001
	EffTaxRateCorrect	.035	.003	.164	11.792	<.001
	Expected growth rate in EPS- Next 5 years	-3.603	.212	-.239	-17.005	<.001
	Company Age	.004	.000	.106	7.702	<.001
	Beta	-.279	.048	-.081	-5.821	<.001

a. Dependent Variable: DivYldCorrect

b. Weighted Least Squares Regression - Weighted by Market Cap (in US $)

Global Regression: Dividend Payout

Model Summary

Model	R	R Square	Adjusted R Square	Std. Error of the Estimate
1	.011[a]	.000	.000	1120.80841

a. Predictors: (Constant), Return on Equity, Beta

ANOVA[a,b]

Model		Sum of Squares	df	Mean Square	F	Sig.
1	Regression	3548214.300	2	1774107.150	1.412	.244[c]
	Residual	2.697E+10	21471	1256211.500		
	Total	2.698E+10	21473			

a. Dependent Variable: Payout ratio

b. Weighted Least Squares Regression - Weighted by Market Cap (in US $)

c. Predictors: (Constant), Return on Equity, Beta

Regression Output

Coefficients[a,b]

Model		Unstandardized Coefficients		Standardized Coefficients		
		B	Std. Error	Beta	t	Sig.
1	(Constant)	.733	.254		2.881	.004
	Beta	-.182	.179	-.007	-1.018	.309
	Return on Equity	.253	.186	.009	1.360	.174

a. Dependent Variable: Payout ratio

b. Weighted Least Squares Regression - Weighted by Market Cap (in US $)

- ***How do I use this regression?***

  Assume that you want to estimate the dividend yield for a firm with the following characteristics, using the global regression
  Effective tax rate = 20%
  Regression beta = 1.20
  Expected Growth in EPS over next 5 years = 10%
  Company Age = 35

- ***Predicted Values***
- Expected Dividend Yield = 1.835 +0.035 (20) -3.603 (.10) +0.004 (35) - 0.279 (1.20) = 1.9799 or 1.98%
  If your predicted value is less than zero, your predicted dividend yield is zero.